

IBM Corp.

2Q26 Recap: Adjusting for Changing Customer Behavior

IBM's 2H acceleration centers on its ability to recover more of the slipped ELA deals, improve overall execution, and continued strength in distributed infrastructure, storage, Power, and the z17 mainframe cycle.

Following mgmt commentary that roughly one-third of the delayed large enterprise transactions had already closed within the first few weeks of Q3 as well as an emphasis that the customer behavior is due to demand deferral rather than demand destruction, we have more confidence around IBM's 4% y/y growth base case for FY26. That said, the timing and normalization of customer behavior away from AI infrastructure / storage / memory purchases is debatably an uncontrollable nuance to IBM's upside in 2H. We expect execution to improve in the back-half of the year, which can be an offset to this potential headwind, and IBM is tracking ahead on its productivity agenda (guiding to 100bps of operating pre-tax margin expansion and reiterating its FCF guide). We reiterate our OW rating, although lower our PT to \$262 (from \$288) to account for potentially lower upside in FY26.

The Numbers: Total revenue of \$17.2bn grew 1% y/y (1% in cc vs. cons. 3% cc) and came in -3% below cons. (\$17.86bn). Total software revenue was reported at \$7.76bn (vs. cons. \$8bn), growing 5% cc (vs. 8% cc in Q1), powered by hybrid cloud growth of 11% cc (vs. cons. 10.8% cc), automation growth of 3% cc (vs. cons. 8.5% cc), data growth of 18% cc (vs. cons. 20% cc), and transaction processing growth of -9% cc (vs. cons. -2.6% cc). Consulting revenue of \$5.33bn (vs. cons \$5.40bn) grew 1% cc (vs. 0.9% cc in Q1), and was driven by strategy and technology growth of 1% cc (vs. cons. 2% cc) and intelligent operations growth of 1% cc (vs. cons 1.3% cc). Infrastructure revenue was \$3.84bn (vs. cons \$3.97bn) growing -7% cc (vs. 11.7% cc in Q1), driven by hybrid infrastructure growth of -10% cc (vs. -2% cc), and infrastructure support growth of -1% cc (vs. cons. -6% cc). Non-GAAP gross profit margin of 59.4% was ~100bps below cons (60.4%), and Non-GAAP OM of 20.4% beat by 25bps (20.2%). Mgmt. moved FY 2026 guidance from 5% cc revenue growth to 4-5% y/y, although kept FCF growth expectations at \$1bn.

Positives: (1) Infrastructure guidance was raised from a low-to-mid single-digit y/y decline to low single-digit growth as customer CapEx spend shifts toward AI infrastructure, underscored by 37% growth in Distributed Infrastructure, IBM's strongest quarter on record. (2) Mgmt. expects strong 2H acceleration driven by normalization in ELA conversion rates and improving software transaction closures, supporting its FY26 software growth outlook of 6-8%. (3) Mgmt. maintained its FY26 free cash flow growth outlook (~\$1B y/y increase) despite lowering revenue guidance, reflecting confidence that productivity initiatives can offset revenue headwinds.

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IBM	OVERWEIGHT Unchanged
U.S. Software	POSITIVE Unchanged
Price Target	USD 262.00 lowered -9% from USD 288.00
Price (22-Jul-26)	USD 205.77
Potential Upside/Downside	+27.3%
Source: Bloomberg, Barclays Research	

Market Cap (USD mn)	193400
Shares Outstanding (mn)	939.89
Free Float (%)	99.12
52 Wk Avg Daily Volume (mn)	6.7
Dividend Yield (%)	3.28
Return on Equity TTM (%)	35.93
Current BVPS (USD)	35.08
Source: Bloomberg	

Price Performance	Exchange-NYSE
52 Week range	USD 332.46-204.44



Source: IDC
[Link to Barclays Live for interactive charting](#)

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Negatives: (1) IBM lowered its FY26 revenue guide by ~100bps to 4-5% growth due to slipping mainframe-related ELAs and weakness in Transaction Processing software, as customer capex spending shifts toward infrastructure over software. (2) Software revenue grew 5%, but growth was largely driven by the HashiCorp and Confluent acquisitions, while the core business delivered approximately 0% organic growth. (3) The FY26 outlook now relies on a meaningful 2H re-acceleration in software and ELA conversions, creating execution risk if customers continue prioritizing AI infrastructure spending over software purchases.

Potential Catalysts: Q2 earnings in October (tentative).

IBM: Quarterly and Annual EPS (USD)

	2025	2026			2027			Change y/y	
FY Dec	Actual	Old	New	Cons	Old	New	Cons	2026	2027
Q1	1.61A	1.91A	1.91A	1.91A	2.03E	2.11E	2.07E	19%	10%
Q2	2.80A	2.77E	2.93A	2.97E	3.10E	3.14E	3.18E	5%	7%
Q3	2.65A	2.91E	2.80E	2.89E	3.07E	3.00E	3.14E	6%	7%
Q4	4.52A	4.77E	4.77E	4.47E	4.91E	4.89E	4.72E	6%	3%
Year	11.59A	12.36E	12.41E	12.20E	13.12E	13.14E	13.10E	7%	6%
P/E	17.8		16.6			15.7			

Consensus numbers are from Bloomberg received on 22-Jul-2026; 12:50 GMT

Source: Barclays Research

U.S. Software

POSITIVE

IBM Corp. (IBM)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	67,534	70,372	72,961	76,132	4.1%
EBITDA (adj)	19,151	20,553	21,375	22,070	4.8%
Operating profit (adj)	N/A	N/A	N/A	N/A	N/A
Pre-tax income (adj)	12,714	13,842	14,599	15,685	7.2%
Net income (adj)	10,994	11,824	12,526	13,405	6.8%
EPS (adj) (\$)	11.59	12.41	13.14	14.05	6.6%
Diluted shares (mn)	949	953	954	954	0.2%
DPS (\$)	6.59	6.66	6.66	6.66	0.3%
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	28.4	29.2	29.3	29.0	29.0
Operating margin (adj) (%)	N/A	N/A	N/A	N/A	N/A
Pre-tax (adj) margin (%)	18.8	19.7	20.0	20.6	19.8
Net (adj) margin (%)	16.3	16.8	17.2	17.6	17.0
ROIC (%)	10.9	10.8	11.0	11.2	11.0
ROA (%)	7.0	6.5	6.6	6.7	6.7
ROE (%)	32.4	26.3	23.9	22.0	26.1
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	N/A	N/A	N/A	N/A	N/A
Goodwill	N/A	N/A	N/A	N/A	N/A
Cash and equivalents	13,590	11,127	19,889	30,745	31.3%
Total assets	151,880	158,799	167,576	178,417	5.5%
Short and long-term debt	61,260	61,987	61,987	61,987	0.4%
Other long-term liabilities	9,810	9,875	9,587	10,519	2.4%
Total liabilities	119,139	119,380	121,299	124,290	1.4%
Net debt/(funds)	46,843	49,900	41,138	30,282	-13.5%
Shareholders' equity	32,741	39,419	46,277	54,127	18.2%
Change in working capital	-4,090	-1,585	-1,023	898	N/A
Cash flow from operations	13,194	15,977	17,021	19,200	13.3%
Capital expenditure	1,617	1,822	1,910	1,993	7.2%
Free cash flow	14,736	15,770	17,321	18,176	7.2%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	17.8	16.6	15.7	14.6	16.2
EV/sales (x)	3.5	3.4	3.2	2.9	3.3
EV/EBITDA (adj) (x)	12.5	11.8	10.9	10.1	11.3
Equity FCF yield (%)	7.5	8.0	8.8	9.3	8.4
Dividend yield (%)	3.2	3.2	3.2	3.2	3.2
Net debt/EBITDA (adj) (x)	2.4	2.4	1.9	1.4	2.0
Total debt/capital (%)	65.2	61.1	57.3	53.4	59.2
Selected operating metrics	2025A	2026E	2027E	2028E	CAGR
License revenue	N/A	N/A	N/A	N/A	N/A
Maintenance revenue	N/A	N/A	N/A	N/A	N/A
Services revenue	N/A	N/A	N/A	N/A	N/A
Deferred revenue	N/A	N/A	N/A	N/A	N/A

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (22-Jul-2026) **USD 205.77**
Price Target **USD 262.00**

Why OVERWEIGHT?

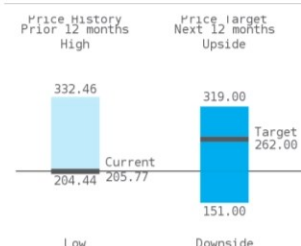
IBM's portfolio of hybrid cloud infrastructure, AI and enterprise software solutions supports mission-critical workloads for large customers. IBM is expanding into higher growth software areas while seeing healthy demand for its existing solutions, providing steady growth and margin expansion, with upside growth potential coming from quantum computing.

Upside case USD 319.00

IBM's hybrid cloud strategy could see greater interest and demand from clients as they look to modernize their IT posture while better controlling cloud costs. Further, IBM has a compelling opportunity ahead around quantum computing that could accelerate growth if successful.

Downside case USD 151.00

IBM operates in a competitive market across many of its product areas and has expanded into adjacent markets through M&A, which creates execution risk. Further, IBM has a compelling LT growth opportunity around quantum computing that if not successful could compress multiples.

Upside/Downside scenarios

2Q26 Results Review

IBM broadly reported mixed Q2 results that came in lower than expected across most key metrics, but this was well known due to the company's pre-announcement ([IBM Corp.: Negative Q2 Pre-Announcement Requires Second Look](#), 7/14/26). Turning to software segment results, Hybrid Cloud (Red Hat) revenue grew 11% y/y (11% ccy vs. 10% ccy in Q1), Automation +4% y/y (3% ccy vs. 7% ccy in Q1), Data +19% y/y (18% ccy vs. 16% ccy in Q1) and Transaction Processing -8% y/y (-9% ccy vs. +2% ccy in Q1). For Consulting segment revenue, Strategy and Technology grew 1% y/y (1% ccy vs. 1% in Q1) and Intelligent Operations grew 1% y/y (1% ccy).

Commentary on Guidance

Mgmt lowered its FY26 total revenue growth to 4%-5% (prior: 5%+), reflecting the Q2 revenue miss driven by delayed large enterprise transactions. IBM also now expects software revenue growth of 6%-8% (prior: 10%+ y/y), infrastructure growth in the low single digits (unchanged), and consulting growth in the low-to-mid-single digits (prior: decline low-to-mid-single digits) for FY26. That said, IBM maintained its expectation for ~\$1 billion of free cash flow growth in FY26 and now expects 100bps of operating pre-tax margin expansion (due to productivity initiatives more than offsetting revenue-headwinds). For Q3, IBM expects constant-currency rev. growth consistent with its full-year outlook (~1.5pt FX headwind from the stronger U.S. dollar), operating pre-tax margins similar to Q2 levels, and a mid-teens operating tax rate.

Takeaways from Callback

On our callback, IBM attributed its Q2 shortfall primarily to the delay of a handful of large enterprise transactions as customers redirected spending toward AI infrastructure and other CapEx priorities, with the weakness largely due to ~20% of software revenue that remains transactional while its recurring revenue base continued to perform well (~8% y/y ARR growth). Mgmt emphasized that the business is now approximately 80% recurring revenue and believes the delayed demand is largely timing-related rather than structural, noting that several slipped deals have already closed and that the company continues to see healthy underlying demand trends. IBM reiterated a 4% FY26 revenue growth base case, with software growth of 6%-8% remaining the key swing factor and guidance assuming pipeline conversion rates stay below historical norms. The company also pushed back on the idea that AI spending is broadly cannibalizing software budgets, arguing that customers continue to invest across infrastructure, storage, memory, and software while increasingly utilizing flexible OpEx-oriented consumption models alongside traditional ELAs. Despite the softer revenue outlook, IBM maintained its roughly \$15.7 billion free cash flow target, supported by productivity initiatives, inventory normalization expected to become a 2H tailwind.

Estimate Changes and Valuation

We update our estimates following results and provide a summary in the table below. We maintain our Overweight rating, although lower our price target to \$262 (from \$288) based on 16x EV/CY27E uFCF (from 18x) and CY27E uFCF of \$19.1bn (prior: \$18.4bn). We lower our price target to account for less upside to IBM's FY26 and lower peer group valuation levels.

FIGURE 1. Summary of Estimate Changes

\$, mn	2026E			2027E		
	New	Old	% Chg	New	Old	% Chg
Hybrid Cloud Revenue	8,174	8,179	0.0%	8,992	9,117	-1.4%
Automation Revenue	8,134	8,425	-3.5%	8,540	9,260	-7.8%
Data Revenue	7,419	7,787	-4.7%	8,145	8,576	-5.0%
Transaction Processing Revenue	8,273	9,009	-8.2%	8,481	9,416	-9.9%
Total Software Revenue	31,993	33,399	-4.2%	34,158	36,369	-6.1%
Total Consulting Revenue	21541	21,707	-0.8%	22162	22,290	-0.6%
Total Infrastructure Revenue	15915	15,680	1.5%	15707	15,471	1.5%
Total Revenue	70372	71,611	-1.7%	72961	74,966	-2.7%
Non-GAAP Gross Profit	42227	43,494	-2.9%	44478	46,133	-3.6%
% margin	60.0%	60.7%		61.0%	61.5%	
Non-GAAP Operating Profit (loss)	15352	15,486	-0.9%	16540	16,524	0.1%
% margin	21.8%	21.6%		22.7%	22.0%	
Operating Cash Flow	15977	15,863	0.7%	17021	17,171	-0.9%
Capex	-1206	-1,301	-7.3%	-1238	-1,351	-8.3%
Adj. Free Cash Flow	15770	15,695	0.5%	17321	16,643	4.1%

Source: Company data, Barclays Research estimates

Financial Model

FIGURE 2. IBM Income Statement

Fiscal = Dec In \$mn	2022A	2023A	2024A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E
Software Revenue	25,038.0	26,407.0	27,086.0	30,042.0	7,057.2	7,761.0	7,587.8	9,587.2	31,993.3	34,158.5	36,442.5	38,751.6	41,012.6
y/y % growth	5.2%	5.5%	2.6%	10.9%	11.4%	5.1%	5.3%	5.2%	6.5%	6.8%	6.7%	6.3%	5.8%
Consulting Revenue	19,108.0	19,986.0	20,692.0	21,007.0	5,270.7	5,327.0	5,430.5	5,512.9	21,541.1	22,162.1	22,740.3	23,194.8	23,774.7
y/y % growth	7.1%	4.6%	3.5%	1.5%	4.0%	0.2%	2.0%	4.0%	2.5%	2.9%	2.6%	2.0%	2.5%
Infrastructure Revenue	15,287.0	14,592.0	14,020.0	15,686.0	3,322.1	3,835.0	3,568.7	5,189.0	15,914.8	15,707.0	16,007.7	16,094.1	16,290.5
y/y % growth	7.7%	-4.5%	-3.9%	11.9%	15.1%	-7.4%	0.3%	1.7%	1.5%	-1.3%	1.9%	0.5%	1.2%
Financing Revenue	646.0	741.0	713.0	736.0	219.7	186.5	204.0	182.6	792.7	804.3	812.4	816.4	816.4
y/y % growth	-16.5%	14.7%	-3.8%	3.2%	15.0%	12.3%	2.0%	2.0%	7.7%	1.5%	1.0%	0.5%	0.0%
Other Revenue	452.0	233.0	243.0	63.0	48.0	52.5	34.2	(5.0)	129.7	128.7	128.7	128.7	128.7
y/y % growth	-40.1%	-48.5%	4.3%	-74.1%	-21.3%	269.4%	-10.0%	0.0%	105.9%	-0.7%	0.0%	0.0%	0.0%
Total Revenue	60,531.0	61,959.0	62,754.0	67,534.0	15,917.7	17,162.0	16,825.2	20,466.7	70,371.6	72,960.6	76,131.6	78,985.6	82,023.0
y/y % growth	5.5%	2.4%	1.3%	7.6%	9.5%	1.1%	3.0%	4.0%	4.2%	3.7%	4.3%	3.7%	3.8%
Total Cost of Revenue	27,842.0	27,560.0	26,478.0	27,351.0	6,730.7	6,968.0	6,756.6	7,689.1	28,144.4	28,482.9	29,294.6	29,920.9	30,696.4
y/y % growth	7.6%	-1.0%	-3.9%	3.3%	6.7%	2.8%	0.3%	2.1%	2.9%	1.2%	2.8%	2.1%	2.6%
Non-GAAP Gross Profit	32,689.0	34,399.0	36,276.0	40,183.0	9,187.0	10,194.0	10,068.6	12,777.6	42,227.2	44,477.7	46,837.0	49,064.8	51,326.6
Gross Margin (%)	54.0%	55.5%	57.8%	59.5%	57.7%	59.4%	59.8%	62.4%	60.0%	61.0%	61.5%	62.1%	62.6%
Total Operating Costs	23,424.0	23,845.0	25,012.0	26,054.0	6,682.0	6,697.0	6,578.6	6,917.8	26,875.4	27,938.2	28,868.5	29,709.5	30,523.0
Non-GAAP Operating Profit	9,265.0	10,554.0	11,264.0	14,129.0	2,505.0	3,497.0	3,489.9	5,859.9	15,351.8	16,539.5	17,968.5	19,355.3	20,803.6
Non-GAAP Operating Profit (Loss) Margin (%)	15.3%	17.0%	17.9%	20.9%	15.7%	20.4%	20.7%	28.6%	21.8%	22.7%	23.6%	24.5%	25.4%
Non-GAAP EBITDA, adj.	14,067.0	14,950.0	15,931.0	19,151.0	3,779.0	4,847.0	4,802.5	7,124.7	20,553.2	21,375.3	22,070.2	22,951.0	24,050.8
EBITDA Margin (%)	23.2%	24.1%	25.4%	28.4%	23.7%	28.2%	28.5%	34.8%	29.2%	29.3%	29.0%	29.1%	29.3%
Non-GAAP Net Income	7,361.0	8,779.0	9,687.0	10,994.0	1,821.0	2,792.0	2,666.1	4,546.6	11,823.7	12,526.5	13,405.2	14,385.6	15,466.9
Non-GAAP Net Income Margin (%)	-9.0%	19.3%	10.3%	13.5%	20.0%	5.3%	5.9%	5.6%	7.5%	5.9%	7.0%	7.3%	7.5%
Basic Sharecount	901.9	911.2	920.7	932.3	938.5	941.2	941.5	941.7	940.7	942.3	943.3	944.3	945.3
Diluted Sharecount	912.3	922.1	937.2	948.7	952.1	953.3	952.4	953.6	952.8	953.6	953.8	954.3	954.7
EPS (Basic)	\$8.16	\$9.63	\$10.52	\$11.79	\$1.94	\$2.97	\$2.83	\$4.83	\$12.57	\$13.29	\$14.21	\$15.23	\$16.36
Non-GAAP EPS (Diluted)	\$8.07	\$9.52	\$10.34	\$11.59	\$1.91	\$2.93	\$2.80	\$4.77	\$12.41	\$13.14	\$14.05	\$15.07	\$16.20

Source: Company data, Barclays Research estimates

FIGURE 3. IBM Balance Sheet

Fiscal = Dec \$ in mn	2022A	2023A	2024A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E
ASSETS													
Cash and cash equivalents	7,886.0	13,067.0	13,948.0	13,590.0	10,823.0	7,176.0	8,666.4	11,127.4	11,127.4	19,889.0	30,745.0	43,136.7	57,070.2
Restricted Cash	101.0	21.0	214.0	54.0	45.0	46.0	46.0	46.0	46.0	46.0	46.0	46.0	46.0
Marketable Securities	852.0	374.0	643.0	827.0	964.0	960.0	960.0	960.0	960.0	960.0	960.0	960.0	960.0
Notes and accounts receivable - trade	6,541.0	7,214.0	6,804.0	8,112.0	6,493.0	6,044.0	5,900.3	8,074.5	8,074.5	8,697.7	9,027.0	9,250.3	8,894.0
Short-term financing receivables:	7,790.0	6,793.0	7,159.0	8,476.0	6,510.0	6,656.0	6,057.1	8,596.0	8,596.0	8,867.9	9,328.0	9,623.7	10,144.8
Total Inventory	1,552.0	1,161.0	1,289.0	1,220.0	1,476.0	1,746.0	1,609.7	1,259.6	1,259.6	1,683.5	1,743.5	1,401.5	1,391.5
Deferred Costs	967.0	998.0	959.0	1,084.0	1,157.0	1,238.0	1,213.7	1,476.4	1,476.4	1,526.7	1,335.8	1,378.1	1,432.2
Prepaid expenses and other current assets	2,611.0	2,639.0	2,520.0	2,530.0	3,209.0	3,188.0	2,648.2	3,043.5	3,043.5	3,365.2	3,321.0	3,394.4	3,312.8
Total Current Assets	29,117.0	32,909.0	34,483.0	36,945.0	31,919.0	28,402.0	28,279.2	35,606.8	35,606.8	46,517.4	58,287.2	70,568.7	84,683.7
Property, plant and equipment - net	5,334.0	5,501.0	5,732.0	5,899.0	5,781.0	5,736.0	5,690.0	5,753.7	5,753.7	5,555.1	5,494.8	5,518.7	5,604.6
Operating right-of-use assets - net	2,878.0	3,220.0	3,197.0	3,129.0	3,219.0	3,068.0	3,068.0	3,068.0	3,068.0	3,068.0	3,068.0	3,068.0	3,068.0
Long-term financing receivables	5,806.0	5,766.0	5,353.0	7,708.0	7,014.0	7,126.0	6,225.3	7,555.4	7,555.4	7,791.7	8,196.0	8,455.9	8,951.3
Prepaid pension assets	8,236.0	7,506.0	7,492.0	7,544.0	7,578.0	7,645.0	7,645.0	7,645.0	7,645.0	7,645.0	7,645.0	7,645.0	7,645.0
Deferred costs	866.0	842.0	788.0	825.0	831.0	835.0	818.6	995.8	995.8	1,029.7	1,083.2	1,117.5	1,161.4
Deferred taxes	6,256.0	6,656.0	6,978.0	8,610.0	8,552.0	8,709.0	8,931.1	9,107.7	9,107.7	9,629.8	10,352.1	10,795.1	11,457.6
Goodwill	55,949.0	60,178.0	60,706.0	67,717.0	74,709.0	74,599.0	74,599.0	74,599.0	74,599.0	74,599.0	74,599.0	74,599.0	74,599.0
Intangible assets - net	11,184.0	11,036.0	10,660.0	11,391.0	14,624.0	13,955.0	13,175.4	12,439.3	12,439.3	9,712.0	7,663.6	6,111.7	4,925.8
Investments and sundry assets	1,617.0	1,626.0	1,787.0	2,112.0	2,009.0	2,028.0	2,028.0	2,028.0	2,028.0	2,028.0	2,028.0	2,028.0	2,028.0
Total Assets	127,243.0	135,240.0	137,176.0	151,880.0	156,236.0	152,103.0	150,459.6	158,798.6	158,798.6	167,575.8	178,416.9	189,907.6	204,124.3
LIABILITIES													
Taxes	2,196.0	2,270.0	2,033.0	2,347.0	2,053.0	2,023.0	1,850.8	2,251.3	2,251.3	2,222.3	2,226.3	2,182.0	2,148.3
Short-term debt	4,760.0	6,426.0	5,089.0	6,424.0	8,655.0	5,775.0	5,775.0	5,775.0	5,775.0	5,775.0	5,775.0	5,775.0	5,775.0
Accounts payable	4,051.0	4,132.0	4,032.0	4,756.0	4,039.0	4,395.0	3,756.0	4,864.8	4,864.8	4,890.9	5,092.7	5,232.1	5,422.1
Deferred income	12,032.0	13,451.0	13,907.0	16,101.0	17,034.0	16,160.0	15,720.8	17,379.6	17,379.6	19,147.1	20,630.4	22,587.0	25,332.4
Operating lease liabilities	874.0	820.0	768.0	800.0	798.0	770.0	770.0	770.0	770.0	770.0	770.0	770.0	770.0
Other accrued expenses and liabilities	4,111.0	3,521.0	3,709.0	4,116.0	3,582.0	3,425.0	3,425.0	3,425.0	3,425.0	3,425.0	3,425.0	3,425.0	3,425.0
Total Current Liabilities	31,505.0	34,121.0	33,143.0	38,657.0	40,102.0	35,912.0	34,661.5	37,829.7	37,829.7	39,594.3	41,283.4	43,335.1	46,236.7
Long-term debt	46,189.0	50,121.0	49,884.0	54,836.0	57,706.0	56,212.0	56,212.0	56,212.0	56,212.0	56,212.0	56,212.0	56,212.0	56,212.0
Retirement and nonpension postretirement benefit obligations	9,596.0	10,808.0	9,432.0	9,018.0	8,763.0	8,603.0	8,603.0	8,603.0	8,603.0	8,603.0	8,603.0	8,603.0	8,603.0
Deferred income	3,499.0	3,533.0	3,622.0	4,271.0	4,195.0	4,272.0	3,930.2	4,344.9	4,344.9	4,786.8	5,157.6	5,646.7	6,333.1
Operating lease liabilities	2,190.0	2,568.0	2,655.0	2,547.0	2,643.0	2,515.0	2,515.0	2,515.0	2,515.0	2,515.0	2,515.0	2,515.0	2,515.0
Other liabilities	12,243.0	11,475.0	11,048.0	9,810.0	9,767.0	10,044.0	8,749.1	9,875.2	9,875.2	9,587.5	10,519.0	10,680.3	11,481.5
Total Liabilities	105,222.0	112,626.0	109,784.0	119,139.0	123,176.0	117,558.0	114,670.8	119,379.8	119,379.8	121,298.5	124,290.0	126,992.1	131,381.3
Total Equity	22,021.0	22,614.0	27,392.0	32,741.0	33,060.0	34,545.0	35,788.8	39,418.8	39,418.8	46,277.3	54,126.9	62,915.5	72,743.0
Total Liabilities and Equity	127,243.0	135,240.0	137,176.0	151,880.0	156,236.0	152,103.0	150,459.6	158,798.6	158,798.6	167,575.8	178,416.9	189,907.6	204,124.3

Source: Company data, Barclays Research estimates

FIGURE 4. IBM Cash Flow

Fiscal = Dec \$ in mn	2022A	2023A	2024A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E
Net income	1,214.0	7,502.0	6,026.0	10,593.0	1,216.0	2,165.0	2,344.0	4,626.6	10,351.6	11,081.7	11,917.1	12,852.8	13,888.1
Depreciation	2,407.0	2,109.0	2,168.0	2,298.0	555.0	533.0	533.0	528.7	2,149.7	2,108.5	2,053.3	2,043.7	2,061.3
Amortization of capitalized software and acquired intangible assets	2,395.0	2,287.0	2,499.0	2,724.0	719.0	817.0	779.6	736.1	3,051.7	2,727.3	2,048.4	1,551.9	1,185.9
Stock-based compensation	987.0	1,133.0	1,311.0	1,715.0	506.0	498.0	488.2	593.9	2,086.1	2,126.5	2,283.9	2,290.6	2,296.6
Deferred Taxes	(2,726.0)	(1,114.0)	(2,330.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net (gain)/loss on divestitures, asset sales and other	(122.0)	(170.0)	(652.0)	(46.0)	(11.0)	(67.0)	0.0	0.0	(78.0)	0.0	0.0	0.0	0.0
Changes in operating assets and liabilities, net of acquisitions/divestitures	(39.0)	2,184.0	1,313.0	(4,090.0)	2,185.0	(1,349.0)	(579.0)	(1,841.5)	(1,584.5)	(1,022.7)	897.7	2,075.1	3,006.0
Net Cash Provided By (Used In) Operating Activities	10,010.0	13,931.0	13,448.0	13,194.0	5,170.0	2,597.0	3,565.9	4,643.7	15,976.6	17,021.3	19,200.4	20,814.1	22,437.9
Operating Cash Flow Margin (%)	16.5%	22.5%	21.4%	19.5%	32.5%	15.1%	21.2%	22.7%	22.7%	23.3%	25.2%	26.4%	27.4%
Payments for property, plant and equipment	(1,346.0)	(1,245.0)	(1,048.0)	(1,259.0)	(232.0)	(228.5)	(336.5)	(409.3)	(1,206.3)	(1,238.3)	(1,292.1)	(1,340.6)	(1,392.1)
Proceeds from disposition of property, plant and equipment, other	111.0	321.0	557.0	118.0	8.0	23.0	0.0	0.0	31.0	0.0	0.0	0.0	0.0
Investment in software	(626.0)	(565.0)	(637.0)	(476.0)	(159.0)	(153.5)	(150.5)	(183.1)	(646.0)	(671.6)	(700.8)	(727.1)	(755.1)
Purchases of marketable securities and other investments	(5,930.0)	(11,143.0)	(7,762.0)	(6,552.0)	(1,612.0)	(1,259.0)	0.0	0.0	(2,871.0)	0.0	0.0	0.0	0.0
Proceeds from disposition of marketable securities and other investments	4,665.0	10,647.0	6,544.0	6,162.0	1,971.0	1,152.0	0.0	0.0	3,123.0	0.0	0.0	0.0	0.0
Acquisitions of business, net of cash acquired	(2,348.0)	(5,082.0)	(3,289.0)	(8,294.0)	(10,465.0)	(15.0)	0.0	0.0	(10,480.0)	0.0	0.0	0.0	0.0
Divestiture of business, net of cash transferred	1,272.0	(4.0)	698.0	(1.0)	1.0	0.0	0.0	0.0	1.0	0.0	0.0	0.0	0.0
Net Cash Provided By (Used In) Investing Activities	-4,202.0	-7,071.0	-4,937.0	-10,302.0	-10,488.0	-481.0	-487.0	-592.4	-12,048.4	-1,909.9	-1,992.9	-2,067.7	-2,147.2
Proceeds from new debt	7,804.0	9,586.0	5,705.0	8,391.0	7,437.0	0.0	0.0	0.0	7,437.0	0.0	0.0	0.0	0.0
Payments to settle debt	(6,800.0)	(5,082.0)	(6,615.0)	(5,489.0)	(2,928.0)	(4,213.0)	0.0	0.0	(7,141.0)	0.0	0.0	0.0	0.0
Short-term borrowings/(repayments) less than 90 days - net	217.0	(7.0)	30.0	(29.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Common stock repurchase for tax withholdings	(407.0)	(402.0)	(651.0)	(851.0)	(350.0)	(116.0)	0.0	0.0	(466.0)	0.0	0.0	0.0	0.0
Proceeds from issuance of shares	279.0	0.0	745.0	535.0	178.0	240.0	0.0	0.0	418.0	0.0	0.0	0.0	0.0
Financing-other	(103.0)	176.0	(145.0)	(132.0)	(42.0)	(49.0)	0.0	0.0	(91.0)	0.0	0.0	0.0	0.0
Cash dividends paid	(5,948.0)	(6,040.0)	(6,147.0)	(6,254.0)	(1,576.0)	(1,590.0)	(1,588.4)	(1,590.4)	(6,344.8)	(6,349.7)	(6,351.4)	(6,354.7)	(6,357.3)
Net Cash Provided By (Used In) Financing Activities	-4,958.0	-1,769.0	-7,078.0	-3,829.0	2,719.0	-5,728.0	-1,588.4	-1,590.4	-6,187.8	-6,349.7	-6,351.4	-6,354.7	-6,357.3
Effect Of Exchange Rate Changes In Cash	(244.0)	9.0	(359.0)	419.0	(177.0)	(34.0)	0.0	0.0	(211.0)	0.0	0.0	0.0	0.0
Net Increase (Decrease) In Cash And Equivalents	-14.9	87.8	108.7	-125.2	58.0	83.8	73.5	200.9	416.1	655.1	784.4	873.6	0.0
Cash And Equivalents At Beginning Of The Period	6,957.0	7,563.0	13,088.0	14,162.0	13,644.0	10,868.0	7,222.0	8,712.4	13,644.0	11,173.4	19,935.0	30,791.0	43,182.7
Less Restricted Cash Change	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash And Equivalents At End Of The Period	7,563.0	13,088.0	14,162.0	13,644.0	10,868.0	7,222.0	8,712.4	11,173.4	11,173.4	19,935.0	30,791.0	43,182.7	57,116.2
Free Cash Flow	9,293.0	11,211.0	12,752.0	14,736.0	2,221.0	2,540.0	2,998.9	8,010.0	15,769.9	17,321.0	18,175.7	18,252.4	18,879.0
y/y % growth	43%	21%	14%	16%	13%	-11%	26%	6%	7%	10%	5%	0%	3%
Free Cash Flow Margin (%)	15%	18%	20%	22%	14%	15%	18%	39%	22%	24%	24%	23%	23%

Source: Company data, Barclays Research estimates

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IBM Corp. (IBM, 22-Jul-2026, USD 205.77), Overweight/Positive, CD/CE/D/E/J/K/L/M/N

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Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
21-Jul-2026	213.00		288.00	USD
01-Jun-2026	297.80	Overweight	350.00	USD

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

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Valuation Methodology: Our \$262 price target is based on 16x EV/CY27E uFCF of \$19.1bn.

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